**Amendment of section 34.**

**126.** In section 34 of the Central Goods and Services Tax Act, in sub-section (2), for the proviso, the following proviso shall be substituted, namely:—

"**Provided** that no reduction in output tax liability of the supplier shall be permitted, if the—

(*i*) input tax credit as is attributable to such a credit note, if availed, has not been reversed by the recipient, where such recipient is a registered person; or

(*ii*) incidence of tax on such supply has been passed on to any other person, in other cases.".